

1. Which of the following leverage is defined as the extent to which a firm's operations involve fixed operating costs.

- ☐ a. Combined leverage
- ☐ b. Capital structure leverage
- ☐ c. Financial Leverage
- ☐ d. Operating leverage

2. Suppose the term of sales of ABC Company is 3/15, n/45 and annual credit sales of the company are birr 400,000, then what is the credit period and cash discount of the company respectively?

- ☐ a. 45 days and 150,000-birr
- ☐ b. 15 days and 12,000 birrs
- ☐ c. 45 days and 12,000 birrs
- ☐ d. 15 days and 60,000-birr

3. Which of the following is not a function of financial system?

- ☐ a. It helps in transferring risks to others
- ☐ b. It helps government in influencing macro-economic variables
- ☐ c. It reduces the borrowing capacity of firms
- ☐ d. It provides convenient mode of payments.

4. One of the following systems allocates saving efficiently in an economy to ultimate users either for investment in real assets or for consumption.

- ☐ a. Technology system
 - ☐ b. Market system
 - ☐ c. Financial system
 - ☐ d. Economic system
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5. Which of the following is a reason for the existence of financial intermediaries?

- ☐ a. Problems related to asymmetric information.
- ☐ b. All of the above
- ☐ c. The ability to borrow funds directly from savers.
- ☐ d. The existence of long-term financial instruments.

6. Which of the following can be described as involving direct finance?

- ☐ a. People buy shares in a mutual fund.
- ☐ b. A corporation's stock is traded in an over-the-counter market.
- ☐ c. A pension fund manager buys commercial paper in the secondary market.
- ☐ d. An insurance company buys shares of common stock in the over-the-counter markets.

7. How do banks facilitate international trade and investment?

- ☐ a. They are reluctant to lend for projects involving foreign trade and investment.
- ☐ b. They bundle up assets with varying degrees of risk and sell them on.
- ☐ c. They offer payment systems making it easier to export and import goods and services.
- ☐ d. They charge low rates of interest on their loans.

8. In which of the following situations would you prefer to be a borrower?

- ☐ a. The real interest rate is 5% and the expected inflation rate is 7%.
- ☐ b. The nominal interest rate is 15% and the expected inflation rate is 12%.
- ☐ c. The real interest rate is 8% and the expected inflation rate is 6%.
- ☐ d. The nominal interest rate is 10% and the expected inflation rate is 14%.

9. According to the liquidity preference theory of the term structure,

- ☐ a. All of the above.
- ☐ b. The choice of long-term versus short-term securities is determined according to the need for the securities
- ☐ c. Securities of different maturities are substitutes but not perfect substitutes.
- ☐ d. The present long-term interest rates depend entirely on future short-term rates.

10. Which of the following is not related with Money Market?

- ☐ a. mortgage notes
- ☐ b. Certificates of Deposit
- ☐ c. Treasury Bills
- ☐ d. Commercial Bills

11. An important financial institution that assists in the initial sale of securities in the primary market is the

- ☐ a. Investment bank.
- ☐ b. Stock exchange.
- ☐ c. brokerage house
- ☐ d. Commercial bank.

12. Financial market activities affect

- ☐ a. all of the above
- ☐ b. the economy's location in the business cycle.
- ☐ c. spending decisions by individuals and business firms.
- ☐ d. personal wealth.

13. Which of the following is not an example of financial intermediation?

- ☐ a. A woman opening a new business borrows funds from her uncle.
- ☐ b. A bank extends a mortgage loan to a household.
- ☐ c. An Internet company issues shares by selling shares directly to buyers.
- ☐ d. A professor purchases shares directly from a share company.

14. Hedgers are primarily interested in

- ☐ a. Betting on anticipated changes in prices.
- ☐ b. Reducing their exposure to the risk of price fluctuations.
- ☐ c. Increasing market liquidity.
- ☐ d. Reducing the spread between bid and ask prices on bonds.

15. The primary objective of an audit is to:

- ☐ a. Ensure compliance with tax laws
- ☐ b. Express an opinion on financial statements
- ☐ c. Detect all frauds
- ☐ d. Prepare accounting records

16. Which of the following best describes internal control?

- ☐ a. Controls imposed by external auditors
- ☐ b. Statutory requirements only
- ☐ c. Procedures to reduce company tax
- ☐ d. Policies designed to ensure reliability of financial reporting

17. A systematic examination of the books and records of a business is called

- ☐ a. Checking.
- ☐ b. Vouching.
- ☐ c. Auditing.
- ☐ d. Verification.

18. Which of the following is not a kind of audit?

- ☐ a. Continuous, final, Interim, Cash, Cost and Management audit.
- ☐ b. None of these.
- ☐ c. Government and continuous audit.
- ☐ d. Statutory and private audit.

19. Which of the following tax system is/are applied in Ethiopia?

- ☐ a. Digressive tax system
- ☐ b. Regressive tax system
- ☐ c. None of the above
- ☐ d. Progressive tax system

20. Which of the following is/are NOT true about the Ethiopian tax system?

- ☐ a. Worldwide income of Resident tax payers is subjected for tax
- ☒ b. None-resident tax payers are required to pay to the extent of Ethiopian source of income
- ☐ c. Foreign tax credit is allowed only for resident tax payers
- ☐ d. A loss incurred in one schedule can be compensated from the profit of another schedule

21. Which one of the following deals with government revenue, and expenditure along with their principles and management.

- ☐ a. All of the above
- ☐ b. Private Finance
- ☐ c. Public Finance
- ☐ d. Public Revenues

22. Which of the followings refer to the spending on capital assets and have a lasting impact on the economy and help to provide a more efficient and productive economy.

- ☐ a. Tax Revenue
- ☐ b. Capital Expenditures
- ☐ c. Revenue Expenditures
- ☐ d. Public Revenues

23. Which one is the most correct description of the activities performed from assessment of taxes to their enforcement?

- ☐ a. Tax Cycle
- ☐ b. Cannons of taxation
- ☐ c. Tax Planning
- ☐ d. Tax Administration

24. Which of the following represents the total outstanding debt (bonds and other securities) of a country's central/Federal government.

- ☐ a. Public Debt
- ☐ b. Financial Administration
- ☐ c. Private Debt
- ☐ d. Economic Stabilization

25. Under IFRS, revenue is recognized when:

- ☐ a. The performance obligation is satisfied
- ☐ b. Cash is received
- ☐ c. Invoice is issued
- ☐ d. Goods are ordered

26. The liabilities of Rain Company equal one-fifth of the total assets. The owner's Equity is \$40,000. What is the amount of the liabilities?

- ☐ a. \$100,000
- ☐ b. \$10,000
- ☐ c. \$20,000
- ☐ d. \$50,000

27. Assume the following are the only accounts and balances used to prepare balance sheet of a small business owned by Cloud, what will be the amount of cash balance? Accounts

Receivable \$ 1,600 Wages Payable 700 Owner's Capital 28,700 Building 22,000 Cash ?

- ☐ a. \$8,500
- ☐ b. \$4,800
- ☐ c. \$22,900
- ☐ d. \$5,800

28. If revenue was \$50,000, expenses were \$30,000, and the owner's withdrawals were \$10,000, the amount of net income or net loss would be:

- ☐ a. \$20,000 net loss.
- ☐ b. \$10,000 net loss.
- ☐ c. \$20,000 net income.
- ☐ d. \$10,000 net income. .

29. Mr. Rain has three businesses, and he says it is advisable to keep one book to record all the activities of all the three businesses and his personal financial affairs as it helps to summarize all in one. From accounting point of view, this violates which of the following assumption/concept/principle?

- ☐ a. Business/Economic entity
- ☐ b. Monetary measurement
- ☐ c. Accrual method
- ☐ d. Historical cost

30. Which of the following is not correct about double entry recording system?

- ☐ a. Every transaction affects at least two accounts
- ☐ b. Each transaction should be recorded more than one time
- ☐ c. The basic accounting equation is based on the principle of double entry.
- ☐ d. Total debits must equal total credits

31. Which of the following shows the correct sequence in the flow of accounting data?

- ☐ a. Occurrence of transaction –Source document –Ledger -Journal
- ☐ b. Journal-Ledger - Source document - Occurrence of transaction
- ☐ c. Source document - Occurrence of transaction–Journal-Ledger
- ☐ d. Occurrence of transaction –Source document –Journal-Ledger

32. The trial balance of Cloud Company had accounts with the following normal balances: Cash \$5,000, Service Revenue \$85,000, Salaries and Wages Payable \$4,000, Salaries and Wages Expense \$40,000, Rent Expense \$10,000, Owner's Capital \$42,000; Owner's Drawings \$15,000; Equipment \$61,000. In preparing a trial balance, the total in the debit column is:

- ☐ a. \$216,000
- ☐ b. \$131,000
- ☐ c. \$91,000
- ☐ d. \$116,000

33. Ready Corp.'s accounts receivable balance after posting net collections from customers for 2012 is \$150,000. Management feels that uncollected accounts should be based on the following aging of accounts receivable and uncollected percentages. There are \$100,000 that are 1-30 past due at 2% and \$50,000 that are 31 to 60 days past due at 10%. The net realizable value of the accounts receivable is;

- ☐ a. \$143,000
- ☐ b. \$148,000
- ☐ c. \$147,500
- ☐ d. \$150,000

34. On January 2, Well Corporation sold merchandise with a gross price of \$100,000 to Priority Corporation with terms of 2/10, n/30. How much Sales Discounts would be recorded if payment was received on January 8?

- ☐ a. \$ 98,000
- ☐ b. 2,000
- ☐ c. \$ 0
- ☐ d. \$ 100.000

35. What should a company do to improve its accounts receivable turnover rate?

- ☐ a. Reduce the number of employees working in the credit department.
- ☐ b. Lower its selling prices.
- ☐ c. Give customers credit terms of 2/10, n/30 rather than 1/10, n/30.
- ☐ d. Increase its sales force.

36. If a company uses the direct write-off method of accounting for bad debts,

- ☐ a. When an account is written off, total assets will stay the same.
- ☐ b. It establishes an estimate for the allowance for doubtful accounts.
- ☐ c. It will reduce the accounts receivable account at the end of the accounting period for estimated uncollected accounts.
- ☐ d. It will record bad debt expense only when an account is determined to be uncollected.

37. Forrest Corp. uses the direct write-off method to account for bad debts. What are the effects on the accounting equation of the entry to record the write-off of a customer's account balance?

- ☐ a. Assets increase and Shareholders' equity decrease
- ☐ b. Shareholders' equity and liabilities decrease
- ☐ c. Assets and liabilities decrease
- ☐ d. Assets and Shareholders' equity decrease

38. Forrest Corp. uses the direct write-off method to account for bad debts. What are the effects on the accounting equation of the entry to record the write-off of a customer's account balance?

- ☐ a. Assets and Shareholders' equity decrease
- ☐ b. Shareholders' equity and liabilities decrease
- ☐ c. Assets and liabilities decrease
- ☐ d. Assets increase and Shareholders' equity decrease

39. If a company uses the allowance method to account for doubtful accounts, when will the company's shareholders' equity decrease?

- ☐ a. At the date a customer's account is written off
- ☐ b. At the end of the accounting period when an adjusting entry for bad debts is recorded
- ☐ c. At the date a customer's account is determined to be uncollected
- ☐ d. When the accounts receivable amount becomes past due

40. Digital Corporation The following data concern Digital Corporation for 2011. Credit sales during the year \$2,400,000 Accounts Receivable--December 31, 2010 410,000 Allowance for Bad Debts--December 31, 2010 55,000 Bad debt expense for the year 70,000 Refer to Digital Corporation. What amounts will Digital show on its year-end balance sheet for the net realizable value of its accounts receivable?

- ☐ a. \$285,000
- ☐ b. \$355,000
- ☐ c. \$340,000
- ☐ d. \$410,000

41. Which of the following is not a non-cash investing and financing activity?

- ☐ a. Conversion of preferred stock into common stock
- ☐ b. Repayment of short-term loan
- ☐ c. Conversion of bonds into common stock
- ☐ d. Purchase of land by issuing common stock

42. Significant non-cash investing and financing activities are reported in the:

- ☐ a. investing activities section of statement of cash flows
- ☐ b. foot notes or separate notes to the financial statements
- ☐ c. financing activities section of statement of cash flows
- ☐ d. operating activities section of statement of cash flows

43. Under which of the following inventory costing methods is the ending inventory based on the costs of the most recent purchases?

- ☐ a. first-in, first-out
- ☐ b. specific identification
- ☐ c. weighted-average
- ☐ d. last-in, first-out

44. A company purchased 500 units for Br.30 each on January 31, It purchased 550 units for Br.33 each on February 28. It sold a total of 650 units for Br.45 each from March 1 through December 31, What is the cost of ending inventory on December 31 if the company uses the first-in, first-out (FIFO) inventory costing method? (Assume that the company uses a perpetual inventory system.)

- ☐ a. Br.1,800
- ☐ b. Br.10,200
- ☐ c. Br.13,200
- ☐ d. Br.12,000

45. ABC Co. has 7 units in ending merchandise inventory on December 31. The units were purchased in November for Br.180 each. The selling price less cost to complete and sell of the item to be Br.178 each. Which of the following statements is true of the effects of the adjustments to ending merchandise inventory and the cost of goods sold?

- ☒ a. The cost of goods sold would decrease by Br.14.
- ☐ b. The cost of goods sold would increase by Br.2.
- ☐ c. The cost of goods sold would increase by Br.14.
- ☐ d. The cost of goods sold would not be affected.

46. Which of the following is an INCORRECT statement if ending inventory is understated?

- a. Cost of goods sold is overstated.
- b. Income tax is understated.
- c. Net income understated.
- d. Gross profit is overstated. ✓

The correct answer is: Gross profit is overstated.

47. Which of the following would NOT cause an error in the physical inventory count on June 30

- ☐ a. Forgetting to tag a section of inventory
- ☐ b. Counting inventory purchased that was shipped by the supplier FOB shipping point on June 30
- ☐ c. Double counting an aisle of product
- ☐ d. Counting inventory purchased that was shipped by the supplier FOB destination on June 30

48. Which ONE of the following statements best describes the carrying amount of an asset?

- ☐ a. The fair value of the asset at the date of a revaluation less any subsequent accumulated impairment losses
- ☐ b. The higher of the asset's net selling price and its value in use
- ☐ c. The amount at which the asset is recognized in the statement of financial position after deducting any accumulated depreciation and accumulated impairment losses
- ☐ d. The cost (or an amount substituted for cost) of the asset less its residual value

49. A change in estimate should

- ☐ a. Be handled in future periods only.
- ☐ b. Be handled retroactively.
- ☐ c. Be handled in current and future periods.
- ☐ d. Result in restatement of prior period statements.

50. Star Company purchased a depreciable asset for Br.150,000. The estimated salvage value is Br.10,000, and the estimated useful life is 8 years. The double-declining balance method will be used for depreciation. What is the depreciation expense for the second year on this asset?

- ☐ a. Br.28,125
- ☐ b. Br.37,500
- ☐ c. Br.17,500
- ☐ d. Br.26,250

51. One of the following statements is wrong about disposal of plant asset by selling:

- ☐ a. No gain is recognized on disposal of plant assets by selling
 - ☐ b. B and C.
 - ☐ c. When selling price of the disposed asset is less than its book value, loss is recognized.
 - ☐ d. Gain is recognized when the selling price of the asset exceeds the book value
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52. Kaki Company purchased a depreciable asset for Br.600,000. The estimated salvage value is Br.30,000, and the estimated useful life is 10,000 hours. Kaki used the asset for 1,100 hours in the current year. The activity method will be used for depreciation. What is the depreciation expense on this asset?

- ☐ a. Br. 66,000
- ☐ b. Br. 57,000
- ☐ c. Br. 62,700
- ☐ d. Br. 570,000

53. According to IAS 19 Employee Benefits, measurement of the long-term employee benefit obligation should be based on

- ☐ a. Vested and non-vested benefits at current salary rates.
- ☐ b. Vested benefits at current salary rates.
- ☐ c. Vested benefits at future salary rates.
- ☐ d. Vested and non-vested benefits at future salary rates.

54. The following information relates to the affairs of Funny Money Ltd. 30 June 20X2 30 June 20X3. \$000 \$000. Trade receivables 150 Debit 120 Debit. Allowance for doubtful debts 8 Credit 12 Credit. Year ended 30 June 20X3 \$. Sales revenue 500 000 . Doubtful debts expense 15 000 Bad debts incurred during the year were written off against the allowance for doubtful debts. What is the amount of cash collected from trade receivables during 20X3?

- ☐ a. \$519 000
- ☐ b. \$515 000
- ☐ c. \$481 000
- ☐ d. \$485 000

55. Balances of the deferred tax accounts of Taxflow Ltd were as follows. 30 June 20X3 30 June 20X4 \$ \$ Deferred tax liability 3 200 Credit 2 000 Credit Deferred tax asset 2 650 Debit 1 900 Debit Income tax expense for the year ended 30 June 20X4 was \$1750. The current tax payable at 30 June 20X4 is \$200 less than the current tax payable at the preceding year end. What was the amount of income tax paid during the year ended 30 June 20X4?

- ☐ a. \$3900
- ☐ b. \$2400
- ☐ c. Nil
- ☐ d. \$1500

56. In relation to accounting for income taxes, which one of the following statements is correct?

- ☐ a. All movements in deferred tax assets and liabilities are recognized in the statement of profit or loss and other comprehensive income.
- ☐ b. Deferred tax liabilities are determined from deductible temporary differences.
- ☐ c. Tax expense is the sum of current tax expense plus deferred tax expense.
- ☐ d. Current tax expense is the sum of tax expense plus deferred tax expense.

57. For the year ended 30 June 20X5, Hope Ltd (Hope) had a taxable profit of \$230 000. The following comparative information was ascertained from the tax calculations of Hope.

	20X1	20X2
Deferred tax asset	\$78 000	\$92 000
Deferred tax liability	\$40 000	\$34 000

The tax rate is 30 per cent. What is the amount of tax expense of Hope for the year ended 30 June 20X5?

- ☐ a. \$61 000
- ☐ b. \$69 000
- ☐ c. \$20 000
- ☐ d. \$49 000

58. For the year ended 30 June 20X5, Pringle Ltd had an accounting profit of \$200 000 and a taxable profit of \$170 000. The tax expense of Pringle for the year ended 30 June 20X5 was \$60 000. At 30 June 20X5 it was determined that the company had a deferred tax liability of \$27 000. Assume that there was no deferred tax asset at the beginning or end of the period. The tax rate is 30 per cent. Which one of the following statements is correct?

- ☐ a. The deferred tax expense for the year ended 30 June 20X5 was \$27 000.
- ☐ b. The deferred tax liability as at 30 June 20X4 was \$0.
- ☐ c. The current tax expense for the year ended 30 June 20X5 was \$33 000.
- ☐ d. The deferred tax liability as at 30 June 20X4 was \$18 000.

59. XYZ Company paid \$4000 in 20X1 for a piece of equipment that had an expected life of four years and a residual value of zero. Straight-line depreciation was used for accounting purposes and diminishing value for tax purposes. Accounting profit before tax and taxable profit for 20X1 and the next three years were as follows

	Accounting profit before tax	Taxable profit
20X1	\$4 000	\$3 000
20X2	\$5 000	\$5 400
20X3	\$6 000	\$6 400
20X4	\$4 000	\$4 200

Assume that • a tax rate of 30 per cent applies; • depreciation accounts for the difference between accounting profit before tax and taxable profit; and • it is probable that future taxable profit will be sufficient to utilize any deductible temporary differences. From the information above, what item would be included in the books of XYZ at the end of 20X1?

- ☐ a. a deferred tax liability of \$300
- ☐ b. a deferred tax asset of \$1000
- ☐ c. a deferred tax liability of \$1000
- ☐ d. a deferred tax asset of \$300

60. From the same information above, when would the books of XYZ record a deferred tax asset of \$180?

- ☐ a. 20X3
- ☐ b. 20X1
- ☐ c. 20X2
- ☐ d. Never

61. On 8 August 20X3, Alpha Ltd acquired 20 000 shares in Beta Ltd in return for an issue of 10 000 of its own shares. At that date, Alpha's shares had a current market value of \$2.70 each. Shares of Beta have a current market value of \$1.30 each. Fees paid to legal advisers for the transaction totalled \$2000. What is the amount of the consideration transferred?

- ☐ a. \$29 000
- ☐ b. \$28 000
- ☐ c. \$26 000
- ☐ d. \$27 000

62. In relation to goodwill arising from a business combination, which one of the following statements is in accordance with IFRS 3 Business Combinations?

- ☐ a. Goodwill should be measured at cost less accumulated impairment losses.
- ☐ b. Goodwill should be measured at cost less accumulated amortization.
- ☐ c. Goodwill should be amortized on a straight-line basis over its useful life.
- ☐ d. Goodwill is only tested for impairment if circumstances indicate it may be impaired.

63. In accordance with IFRS 10 Consolidated Financial Statements and IFRS 12 Disclosure of Interests in Other Entities, a consolidated statement of financial position (or notes thereto) would not present information relating to which one of the following?

- ☐ a. loans to entities not related to the group
- ☐ b. non-controlling interests' share of consolidated net assets
- ☐ c. goodwill acquired by the group
- ☐ d. investments in subsidiaries

64. Which of the following is a fixed cost?

- ☐ a. Power cost per unit
- ☐ b. Factory rent
- ☐ c. Raw materials
- ☐ d. Direct labor

65. The break-even point is the level of sales at which:

- ☐ a. Variable cost equals fixed cost
- ☐ b. Sales exceed expenses
- ☐ c. Total cost equals total revenue
- ☐ d. Profit equals revenue

66. Which of the following statements refers to management accounting information?

- ☐ a. It primarily measures and records business transactions.
- ☐ b. The reports are generally delayed and historical.
- ☐ c. The audience tends to be stockholders, creditors, and tax authorities.
- ☐ d. There are no regulations governing the reports.

67. Classifying a cost as either direct or indirect depends upon:

- ☐ a. The behavior of the cost in response to volume changes.
- ☐ b. Whether the cost is expensed in the period in which it is incurred.
- ☐ c. Whether an expenditure is avoidable or not in the future.
- ☐ d. Whether the cost can be easily identified with the cost object.

68. A manufacturing plant produces two product lines: golf equipment and soccer equipment. An example of indirect cost for the soccer equipment line is:

- ☐ a. Labor to shape the leather used to make the soccer ball.
- ☐ b. Shift supervisor for the soccer line.
- ☐ c. Material used to make the soccer balls.
- ☐ d. Plant supervisor.

69. What are the variable costs per unit associated with Product WT23? ,WT Company manufactures several different products. Unit costs associated with Product WT23 are as follows:

• Direct materials.....	Br 40	•
Direct manufacturing labor.....	8	•
Variable manufacturing overhead.....	12	•
Fixed manufacturing overhead.....	23	•
Sales commissions (2% of sales).....	6	•
Administrative salaries.....	9	•
Total.....	Br9,	

- ☐ a. Br83
- ☐ b. Br66
- ☐ c. Br60
- ☐ d. Br48

70. What are the fixed costs per unit associated with Product WT23?

- ☐ a. Br35
- ☐ b. Br32
- ☐ c. Br23
- ☐ d. Br44

71. Of the following production operations, the one most likely to employ job order cost accumulation is:

- ☐ a. Crude oil refining
- ☐ b. Candy manufacturing.
- ☐ c. Soft drink manufacturing
- ☐ d. Ship building

72. The source of the data for debiting Work-in-Process for direct materials is the:

- ☐ a. Purchase order
- ☐ b. Purchase requisition
- ☐ c. Materials requisition
- ☐ d. Receiving report

73. The amount of time spent by each employee and the labor cost incurred for each individual job or for factory overhead are recorded on:

- ☐ a. In-and-out cards
- ☐ b. Time tickets
- ☐ c. Clock cards
- ☐ d. Employees' earnings records

74. Which of the following items is NOT an assumption of CVP analysis?

- ☐ a. Costs may be separated into separate fixed and variable components.
- ☐ b. Proportion of different products will remain constant when multiple products are sold.
- ☐ c. Unit selling price, unit variable costs, and unit fixed costs are known and remain constant.
- ☐ d. Total revenues and total costs are linear in relation to output units.

75. Which of the following can be described as involving indirect finance? Ruben intends to sell his customers a special round-trip airline ticket package. He is able to purchase the package from the airline carrier for \$150 each. The round-trip tickets will be sold for \$200 each and the airline intends to reimburse Ruben for any unsold ticket packages. Fixed costs include \$5,000 in advertising costs. 75. What is the contribution margin per ticket package?

- ☐ a. \$200
- ☐ b. \$100
- ☐ c. \$50
- ☐ d. \$150

76. How many ticket packages will Ruben need to sell to break even?

- ☐ a. 50 packages
 - ☐ b. 150 packages
 - ☐ c. 100 packages
 - ☐ d. 34 packages
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77. How many ticket packages will Ruben need to sell in order to achieve \$60,000 of operating income?

- ☐ a. 1,100 packages
- ☐ b. 434 packages
- ☐ c. 367 packages
- ☐ d. 1,300 packages

78. For every \$25,000 of ticket packages sold, operating income will increase by:

- ☐ a. \$6,250
- ☐ b. \$12,500
- ☐ c. an indeterminable amount
- ☐ d. \$18,750

79. The following information is for Barnett Corporation:

- Product X: Revenue \$10.00 & Variable Cost \$2.50
- Product Y: Revenue \$15.00 & Variable Cost \$5.00
- Total fixed costs \$50,000

79. What is the breakeven point assuming the sales mix consists of two units of Product X and one unit of Product Y?

- ☐ a. 1,013 units of Y and 2,025 units of X
- ☐ b. 2,000 units of Y and 4,000 units of X
- ☐ c. 1,000 units of Y and 2,000 units of X
- ☐ d. 2,013 units of Y and 4,025 units of X

80. What is the operating income, assuming actual sales total 150,000 units, and the sales mix is two units of Product X and one unit of Product Y?

- ☐ a. \$1,250,000
- ☐ b. None of these answers are correct.
- ☐ c. \$1,750,000
- ☒ d. \$1,200,000

81. If the sales mix shifts to one unit of Product X and two units of Product Y, then the weighted-average contribution margin will

- ☐ a. be indeterminable
- ☐ b. increase per unit
- ☒ c. decrease per unit
- ☐ d. stay the same

82. If the sales mix shifts to one unit of Product X and two units of Product Y, then the breakeven point will:

- ☐ a. increase
- ☐ b. stay the same
- ☐ c. be indeterminable
- ☐ d. decrease

83. A budget should/can do all of the following EXCEPT:

- ☐ a. help management allocate limited resources
- ☐ b. be adjusted if new opportunities become available during the year
- ☐ c. become the performance standard against which firms can compare the actual results
- ☐ d. be prepared by managers from different functional areas working independently of each other

84. Budgeted production equals:

- ☐ a. $\text{beginning finished goods inventory} + \text{budgeted unit sales} - \text{targeted ending finished goods inventory}$
- ☐ b. $\text{budgeted unit sales} + \text{targeted ending finished goods inventory} - \text{beginning finished goods inventory}$
- ☐ c. $\text{targeted ending finished goods inventory} + \text{beginning finished goods inventory} - \text{budgeted unit sales}$
- ☐ d. $\text{budgeted unit sales} + \text{targeted ending finished goods inventory} + \text{beginning finished goods inventory}$

85. The order to follow when preparing the operating budget is:

- ☐ a. Cash expenditures budget, revenues budget, and production budget.
- ☐ b. revenues budget, manufacturing overhead costs budget, and production budget
- ☐ c. revenues budget, production budget, and direct manufacturing labor costs budget
- ☐ d. costs of goods sold budget, production budget, and cash budget

86. The time value of money concept implies that:

- ☐ a. Money has constant value over time
- ☐ b. Money has no value in the future
- ☐ c. Future money is worth more than present money
- ☐ d. Present money is worth more than future money

87. Which one of the following is the main goal of financial management?

- ☐ a. Sales maximization
- ☐ b. Wealth maximization
- ☐ c. Profit maximization
- ☐ d. Return maximization

88. Which one of the following is concerned with the mix or composition of the sources of raising the funds required by the firm.

- ☐ a. Investment decision
- ☐ b. Financing decision
- ☐ c. Dividend decision
- ☐ d. Liquidity decision

89. Which of the following give an idea of the firm's ability to pay off debts that are maturing within a year.

- ☐ a. Debt management ratios
- ☐ b. Liquidity ratios
- ☐ c. Profitability ratios
- ☐ d. Asset management ratios

90. Which one of the following is true regarding the cost of capital of a firm?

- ☐ a. It is the firm's required rate of return.
- ☐ b. It is a maximum rate of return to cover the cost of generating funds for investments.
- ☐ c. It is the minimum rate of return required by suppliers of the firm's capital.
- ☐ d. It is the minimum rate of return expected by its investors.

91. Capital budgeting decisions require special attention because of the following reasons, except:

- ☐ a. They affect the risk of the firm.
- ☐ b. They are reversible without substantial loss.
- ☐ c. They involve commitment of large amount of funds.
- ☐ d. They influence the firm's growth in the long run.

92. A portfolio comprises two securities and the expected return on them is 12% and 16% respectively. Determine return of portfolio if first security constitutes 40% of total portfolio.

- ☐ a. 12.4%
- ☐ b. 15.4%
- ☐ c. 13.4%
- ☐ d. 14.4%

93. The reported income statement by a business for financial reporting purposes shows Br. 500,000 basic salary and includes 25% of employer's provident fund contribution. How much tax-deductible provident fund expense must the business report for the tax year?

- ☐ a. Br. 75,000
- ☐ b. Br. 60,000
- ☐ c. Br. 125,000
- ☐ d. Br. 15,000

94. What type of account is used to earmark fund balance needed to liquidate contingent obligations of goods ordered but not received?

- ☐ a. Vouchers payable
- ☐ b. Reserve for encumbrance
- ☐ c. Appropriations
- ☐ d. Reserve for goods and services

95. Operating transfers from the general fund to a Special revenue fund to provide partial financing of its operations would be reported by the Special revenue fund as a (an):

- ☐ a. Fund balance addition
- ☐ b. Other financing sources
- ☐ c. Revenue
- ☐ d. Current liability

96. Proceeds received by a general governmental fund from issuing Debt instruments like Note would be recorded by the governmental activities as?

- ☐ a. Liability
- ☐ b. Revenue
- ☐ c. All of the above
- ☐ d. Appropriation

97. For the budgetary year ending December 31, 2021. The City of Hawassa General Fund expects the following inflow of resources:
Property taxes, licenses, and fines \$40,000,000
Proceeds of debt issue 3,000,000
Inter fund transfer from enterprise fund 1,000,000
In the budgetary entry, what amount should The City record for estimated revenues?

- ☐ a. \$43,000,000
- ☐ b. \$40,000,000
- ☐ c. \$44,000,000
- ☐ d. \$41,000,000

98. The Encumbrance control account of governmental unit is:

- ☐ a. Debited when the goods are ordered; credited when goods are received
- ☐ b. Debited when a purchase order is approved; credited when the budget is recorded
- ☐ c. Debited when the goods are received; credited when it is closed
- ☐ d. Debited when the goods are received; credited when the payment is made

99. When the Town of Battu General Fund adopted its budget for the year ending Sene 30, 2014, Br. 540,000 was recorded in estimated revenues. Actual revenues for the year amounted to Br. 600,000. In closing the budgetary accounts Sene 30, 2014?

- ☐ a. Estimated Revenues should be credited for Br. 540,000
- ☐ b. Revenues should be debited for Br. 540,000
- ☐ c. Estimated Revenues should be credited for Br. 600,000
- ☐ d. Estimated Revenues should be debited for Br. 540,000

100. Which one of the following funds should account for the payment of interest and principal on loans secured by the governmental funds

- ☐ a. Debt Service Fund
- ☐ b. General Fund
- ☐ c. Enterprise Fund
- ☐ d. Capital Projects Fund

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Accounting and Finance Model Exit Exam QUS.
(Answers)

1	D	21	C	41	B	61	D	81	B
2	C	22	B	42	B	62	A	82	D
3	C	23	D	43	A	63	D	83	D
4	C	24	A	44	C	64	B	84	B
5	A	25	A	45	C	65	C	85	C
6	B	26	B	46	D	66	D	86	D
7	C	27	D	47	B	67	D	87	B
8	D	28	C	48	C	68	D	88	B
9	C	29	A	49	C	69	B	89	B
10	A	30	B	50	A	70	B	90	B
11	A	31	D	51	A	71	D	91	B
12	A	32	B	52	C	72	C	92	D
13	B	33	A	53	D	73	B	93	A
14	B	34	B	54	A	74	C	94	B
15	B	35	C	55	B	75	C	95	B
16	D	36	D	56	C	76	C	96	A
17	C	37	D	57	D	77	D	97	B
18	B	38	A	58	D	78	A	98	A
19	D	39	B	59	A	79	B	99	C
20	D	40	B	60	C	80	D	100	B